

1.

For defining/explaining

- Globalisation
- Balance of payments on current account
- Trade deficit
- Import controls.

For example: By carrying out supply-side policies such as training and education this would hopefully improve productivity in the domestic market which should improve the potential output per worker which increases the long run productive potential of the economy. This could reduce the general price level which makes domestic goods and services more competitive abroad which may lead to other countries increasing demand for the UK's exports such as financial services in which the UK holds a comparative advantage and if the value of imports remains the same this may reduce the balance of payments on the current account.

Other examples could include: issues such as exchange rate depreciation, expenditure reducing policies or export subsidies.

Use of diagrams to help support explanations, eg LRAS increasing or exchange rate depreciation.

Reference to the UK and/or other economies.

[15]

**2.****Relevant issues/logical chains of analysis include:**

- defining/explaining budget/budget deficit/fiscal policy government spending taxes or taxation
- direct taxes are taxes on household and corporate income and include income tax and corporation tax. Raising direct taxes will reduce household disposable income and reduce the profits of companies. This may affect incentives to work and to take risks and hence adversely affect the economy's supply side however higher direct taxes may allow for lower indirect taxes such as VAT or excise duties
- the impact of indirect taxes on the rate of inflation
- the impact of taxes on wage demands
- the impact of tax rises on household demand for goods and services building on the effects of a tighter fiscal policy to a degree not intended by the government
- the distinction between capital, current and transfer spending which the government can use to limit the impact on different groups in society, eg maintaining spending on the NHS and welfare
- cuts in capital spending, eg infrastructure, can go unnoticed for some time in a way that increases in taxation often cannot
- spending cuts can avoid cutting spending on supply-side improvements such as education and training so continuing to lay stronger foundations for recovery
- the relative distributional effects of tax rises v spending cuts
- diagrams to help support explanations, eg Laffer Curve, the relationship between tax revenue and spending and how it may change over time, AD/AS

[15]**3.****Relevant issues/logical chains of analysis include:**

- defining exports and/or the multiplier
- explanation of the link between the multiplier and AD/use of an arithmetical example
- explaining export-led multiplier, eg the impact of a growing export sector on other sectors of the economy, for example, as those employed in the export sector spend their incomes on goods and services; those businesses in the export sector demanding machinery and technology from other businesses outside the export sector
- use of relevant diagrams, eg AD/AS
- An improvement in the macroeconomy of the EU to which over half of UK exports are sold. Fiscal policy may loosen in the EU, so that consumers' disposable incomes rise and hence their demand for UK goods and services. Equally, unemployment may fall in the EU allowing average incomes to rise and hence consumer demand for UK exports
- UK productivity increases lowering unit costs
- UK/EU relative inflation rates are favourable to the UK
- Quality of UK goods and services
- The exchange rate of the £ against other currencies
- Changing comparative advantage favouring the UK
- appropriate diagrams, eg AD/AS, comparative advantage

[9]



4.

Introduction	• Saving ratio • Macroeconomic performance.
Developing the response to the question: Application / Analysis	• Increased consumption benefiting standards of living • Increased short-run economic growth • Positive multiplier arguments • Increased deficits on the balance of payments on current account • Increased problems of personal debt • Demand pull inflationary pressures caused by too much consumption • Over-reliance on credit • Lack of funds in financial institutions for lending and investment • Lack of funds for long-run growth • Effects on confidence • Paradox of thrift arguments (not in specification) • Effects on employment.
Evaluation	• Is the saving ratio important in an economy or is it a by-product of economic conditions? • Has increased economic integration and international finance diminished the importance of the savings ratio? • Savings creating the condition for investment in the long run • Low savings and the effects of future policy changes • Changes in the saving ratio as an effect of having a strong economy rather than the cause of a problem. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

Introduction	- The meaning of inequality - Differences between income and wealth - UK economic performance measures.
Developing the response to the question: Application	Drawing on the information in the extracts: - the rich having a lower MPC and a higher MPS and if incomes of the poor increased consumption would increase (Extract B) - US economic growth and US being the UK's main export partner (Extract B) - Increased income inequality due to reduced union power (Extract C) - trickle-down effects improving living standards (Extract C) - promoting incentives and wealth generation and focusing on financial services (Extract C) - economic progress often depends on saving and innovation (Extract C) - UK financial services making short term with profits and lacking long term investment (Extract C)
Developing the response to the question: Analysis	Arguments how inequality impacts on UK performance: - impacts on consumption and AD - US as the UK's main export market + other export markets - how supply side reforms have affected UK macro-performance - UK's comparative advantage in financial services - increased savings linking to investment - policies impacting on consumption and investment and different income groups - entrepreneurship, "wealth generation" and the free market. - equity vs efficiency arguments - impact on FDI - asset bubbles - UK banking system and the pursuit of long term investment Analysis of each of the UK's four main macro-economic goals or other social goals or current government targets could be included.
Evaluation	- Does inequality in other countries really impact on the UK economy? - The relative amount of inequality - Does the marginal propensity to consume have such a big impact or are there more important considerations (does increased saving by the "top 1%" have such an impact?)

	• The importance of exports and FDI in the economy. • Other considerations such as domestic policy or financial crisis creating bigger impacts. • The relative importance of each macroeconomic performance indicator • Whether Government intervention is necessary for the improvement of the economy and if so in what way?
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

Introduction	• The nature of EU single market • Origins of the EU • How 'beneficial' may be measured in terms of macroeconomic performance.
Developing the response to the question: Application	Drawing on the information in the extracts: • Electoral success (Extract B) • Lower taxes creating growth Extract B • Balancing budget helped by growth (Extract B) • Reduced size of the state (Extract B) • What goods and services the state provides (Extract C) • Health, education and welfare in terms of living standards (Extract C) • Benefiting certain income groups (Extract C) • The effect of shifting from direct to indirect taxation (Extract C)
Developing the response to the question: Analysis	Arguments why direct tax cuts may be beneficial for growth and living standards: • Increased consumption possibilities • Increased AD as a result of increased consumption and short-run economic growth • Possible increase in firms profits and its role in stimulating investment • Individuals are able to spend more on what they wish, improving welfare • Reduced tax rates leading to more tax revenue (Laffer curve arguments) • Links between economic growth and living standards • Reducing crowding out • Possible multiplier effects. Arguments why direct tax cuts may be damaging for growth and living standards: • Possibly leading to reduced state intervention • Reduction in provision of both public and merit goods • Possible increased inequality • Rich having a larger marginal propensity to save, therefore not spending as much, reducing the circular flow • Possible negative multiplier effects • Lack of crowding in • Costs of economic growth in terms of living standards (eg pollution).



Evaluation	• Short-run vs long run considerations • Are growth and living standards always necessarily directly linked? • How can living standards be judged and what factors need to be considered in their measurement? (This could include HDI or other suitable measurements). • The role of the state and the effects of merit and public goods on living standards • Differences between New Zealand's and UK's experiences, eg New Zealand linked to fast growing Asia-Pacific region. • The idea that living standards and growth encompass a wide range of factors beyond that which domestic governments have control. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Reference to the UK/other economies • Relevant diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not discussed above

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8.

Introduction	• The nature of public sector debt • The relationship between deficits and debt • The EU and fiscal rules.
Developing the response to the question: Application	Drawing on the information in the extracts: • Eurozone recovery slowing (Extract B) • Taxation affecting investment (Extract B) • Ireland creating conditions to increase lending (Extract C) • Crowding out (Extract C) • High levels of public debt (Extract C) • Significant trade partners (Extract C)
Developing the response to the question: Analysis	Arguments as to how reduced public sector debt in other economies may effect UK: • methods of reducing public sector debt • equity and different income groups • impact on UK exports/FDI • impact on UK growth (short-run and long-run) • impact on the balance of payments on both current and capital accounts. • impact on employment/unemployment • impact on inflation. • impact on investment and confidence • impact on ratings agencies and bond yields • crowding in/crowding out arguments • standards of living • Keynesian multiplier Consideration of how reduced public sector debt domestically is also worthy of credit.
Evaluation	• How 'impact' is measured and the importance of various macroeconomic performance indicators • The differences between the relationships with each nation ie countries which provide us with net exports possibly having a bigger impact • Consideration of 'at the same time' as being with each other or with the UK • The rate at which debts are being reduced • Consideration of whether Government debt is in fact a problem • Consideration of FDI and how this might be affected



	• Will the private sector actually have more freedom to invest both domestically and abroad with reduced Government intervention • Whether debt reduction causes crowding in or crowding out and the effects on AD. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

9.

For defining/explaining:

- Economic growth (short-run or long-run)
- Recession
- The trade cycle

For Example: An external shock such as the banking crisis which began in 2007 reduced the ability of the financial sector to lend which caused individuals difficulty in gaining credit and therefore causing consumption to fall as consumption is a large component of aggregate demand as AD falls the real national output of the economy falls which could cause a negative multiplier effect and, if real national output falls for 2 successive quarters this is a recession.

Use of diagrams to help support explanations, eg AD/AS or the trade cycle.

Relevant real world examples and/or relevant reference to the UK and/or other economies.

[15]

11.

Explanation:

Definition: As there is no single definition for this, any suitable definitions can be credited: eg The ability of an economy to sell goods and services in or to other countries and linking to the theory comparative advantage or in terms of lower costs of production or price/non price competitiveness

Analysis:

For Example: A fall in corporation tax may reduce a firms costs therefore the firms expected profits may rise and improve confidence which may be a catalyst for investment which may increase spending on both human capital and physical capital which may lead to productivity advancements allowing firms to sell goods for cheaper on international markets.

Use of appropriate diagrams, eg AD/AS

Reference to the UK or other economies.

[9]

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21-25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16-20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11-15 marks

2	A fairly weak response with some understanding that: • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	6-10 marks
1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes analysis which is, at best, very weak • includes attempted evaluation which is weak and unsupported.	1-5 marks

Relevant issues and areas for discussion include:

- the stability of the Brazilian economy
- political and social stability
- the rule of law and corruption
- whether the investment is likely to be profitable and whether it is secure
- the nature of any capital controls
- the infrastructure in Brazil
- the skills and abilities of the workforce
- financial and other support from the government
- regulations on business
- the tax regime; both corporate and individual taxes
- availability of finance
- the prospects for future growth of the Brazilian economy
- the size of the Brazilian car market and the potential for future growth
- access and proximity to businesses that can support the car industry, eg component suppliers
- potential for exporting cars from Brazil, eg access to other markets in the Americas
- the prospects for the value of the Brazilian currency, the real, and its stability

[25]

Level of response	Response	Max 15 marks
3	A good response provides an answer that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11-15 marks
2	A reasonable response provides an answer that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6-10 marks
1	A weak response provides an answer that: • has one or more relevant issues identified • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1-5 marks



Relevant issues include:

- likely to increase the pay of the lowest paid employees
- the effect on the distribution of income
- the effect on employment and unemployment
- the effects on different types of workers
- the effects in a competitive labour market
- the effects in a non-competitive labour market
- the effect on firms' costs, profits and competitiveness
- the effect on productivity
- the effect on growth
- the effect on motivation, absenteeism and labour turnover
- the effect on inflation
- the effect on competitiveness and the balance of payments
- diagrammatic representation of the likely effects

[15]

20.

Areas for discussion include:

- definitions of unemployment and deficit reduction
- different types of unemployment
- policies that can be used to reduce unemployment
- methods by which deficit can be reduced, eg tax increases and/or spending cuts by the government
- reasons for current deficit-reduction policy
- effects of deficit reduction on aggregate demand, output and employment
- multiplier effects
- how different methods of reducing the deficit will affect unemployment, e.g. tax increases, cuts in welfare, cuts in direct government spending on goods and services
- recent changes in unemployment in the UK
- supply-side policies can help to reduce unemployment
- how a reduction in the deficit can affect different types of unemployment
- how other components of AD may rise as the government's contribution to AD falls
- factors that may boost AD to replace the effect of lost government expenditure, eg crowding-in effects
- size and pace of any planned deficit reduction
- cuts in government expenditure may or may not fall on areas that affect employment significantly
- time lag between the deficit-reduction policy and the effect on employment
- the impact of events in the rest of the world
- the impact of changes in the sterling exchange rate
- monetary policy may help to offset policy of deficit reduction, eg low UK interest rates and unconventional monetary policy measures have supported the expansion of AD since 2008/9

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

[25]

23.

Areas for discussion include:

- UK experience of recent years
- definitions of inflation and deflation
- why price stability is a key objective
- impact of inflation on UK competitiveness
- impact on growth/employment/trade
- the distributional impact of inflation and deflation
- mild v high inflation
- impact of anti-inflationary policies on the economy
- why deflation may lead to even lower spending by consumers/firms
- impact of deflation on the real value of both public and private sector debt
- impact on confidence of households and firms
- effect on business profits
- benefits of deflation
- impact on other macroeconomic objectives
- malign v benign deflation
- policy options to deal with deflation
- extent and magnitude of each problem
- reference to other economies, e.g. Japan, EU , including differences between the situation in the UK and other economies

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

[25]

Level of response	Response	Max 15 marks
3	A good response provides an answer that: - is well organised and develops a selection of the key issues that are relevant to the question - shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning.	11-15 marks
2	A reasonable response provides an answer that: - focuses on issues that are relevant to the question - shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6-10 marks
1	A weak response provides an answer that: - has one or more relevant issues identified - has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - has very limited application of relevant economic principles and/or data to the question - might have some limited analysis but it may lack focus and/or become confused.	1-5 marks

Relevant issues include:

- impact on employment, unemployment and human capital
- impact on real GDP and aggregate demand
- multiplier and accelerator effects
- effects on long-run growth and productivity
- spill-over effects on other firms
- impact on the balance of payments: exports and import substitution
- impact on the budget balance and public sector debt
- may stimulate spending on improvements to the infrastructure

Level of response	An answer that:	Max 9 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7-9 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and/or data to the question - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram.	4-6 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1-3 marks

An AD/AS diagram is expected, illustrating the possible effect of investment on AD and/or LRAS.

A PPF diagram could also be used.

Relevant issues include:

- definition of economic growth; what is meant by investment
- impact of investment on capital stock
- impact of investment on LRAS
- impact of investment on productive capacity
- impact of investment on productivity and efficiency
- impact of investment on AD and possible multiplier effects